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WT Microelectronics Co. Ltd. | Asia Pacific

Stronger 2H driven by data center and communication; OW

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis



Meaningful upside

Financial results versus consensus



Modest revision higher

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Flat QoQ revenue outlook but stronger 2H: Management guided for NT\$572-612bn revenue, flat QoQ, up 80% YoY, mainly due to the pace of data-center-related shipments. Management expects 2H to be stronger than 1H and data center to continue its strong growth in 2027. 3Q EPS is guided at NT\$7.55-8.52; the mid-point is 41%/26% higher than MSe/consensus; the outlook suggests continued benefits from operating leverage and a more favorable business mix.

2Q26 earnings beat on AI-driven scale and operating leverage: 2Q26 revenue reached NT\$591bn (+20% QoQ, +128% YoY), operating margin expanded to 2.20% despite gross margin edging down slightly to 3.41%; EPS was NT\$7.68 (+44% QoQ, +237% YoY), 3%/21% higher than MSe/consensus. By segment, datacenter & server remained the key growth engine, accounting for 59% of revenue and posting 24% QoQ / 274% YoY growth.

Maintain OW: WT Micro continues to gain share in AI infrastructure while maintaining disciplined cost control; the stock trades at 8.3x 2027e EPS, below it 8.9x average one-year forward P/E since 2018; we view the valuation as attractive, given the company's continued progress in penetrating the AI supply chain.

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WT Microelectronics Co. Ltd. (3036.TW, 3036 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight
Industry View	Attractive
Price target	NT\$349.00
Up/downside to price target (%)	49
Shr price, close (Aug 6, 2026)	NT\$233.50
52-Week Range	NT\$308.00-120.50
Sh out, dil, curr (mn)	1,269
Mkt cap, curr (mn)	NT\$296,312
EV, curr (mn)	NT\$311,969
Avg daily trading value (mn)	NT\$1,704

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	12.01	24.52	28.10	31.69
Prior EPS (NT\$)**	-	-	-	-
EPS (NT\$)§	11.15	24.60	29.52	38.41
Revenue, net (NT\$ mn)	1,177,949	2,635,483	3,515,391	3,660,157
EBITDA (NT\$ mn)	22,637	45,508	51,217	57,251
ModelWare net inc (NT\$ mn)	13,544	31,327	35,549	40,068
P/E	11.4	9.4	8.3	7.4
P/BV	1.5	2.2	1.9	1.7
RNOA (%)	11.1	26.5	23.6	27.9

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ROE (%)	13.0	26.6	26.4	26.1
EV/EBITDA	8.4	7.3	5.9	4.0
Div yld (%)	4.4	5.3	6.0	6.8
FCF yld ratio (%)**	14.7	(1.2)	15.2	32.3
Leverage (EOP) (%)	13.3	25.8	4.9	(38.9)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

Valuation Methodology and Risks

WT Microelectronics Co. Ltd. (3036.TW)

Base case, residual income model. We assume a cost of equity of 12.6% (2% risk-free rate, 11.8% risk premium, 0.9 beta), a medium-term growth rate of 10% and a long-term growth rate of 3%.

Risks to Upside

- Margin trends up even amid low-margin AI business.
- Global semi inventory drops, reflecting strong mobile device demand.
- Market share expands.

Risks to Downside

- Margin trends down dramatically amid slower-than-expected AI-semi development.
- Global semi inventory rises, reflecting poor mobile/PC device demand.
- Market share lost.

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Stock Price, Price Target and Rating History (See Rating Definitions)

WT Microelectronics Co. Ltd. (3036.TW) - As of 08/06/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 1/27/26 : O/A

Price Target History: 1/27/26 : 198; 3/4/26 : 222; 4/14/26 : 288; 5/7/26 : 299; 5/20/26 : 349

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/06/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$79.90
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb361.59
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$123.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,660.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$595.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,168.15
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,480.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$872.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$453.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$136.70
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$450.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$249.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb75.38
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,920.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb722.70
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$459.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb742.50
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb89.65
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,025.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb106.24
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$445.00
SMIC (0981.HK)	O (10/21/2025)	HK\$65.35
TSMC (2330.TW)	O (02/07/2022)	NT\$2,365.00
UMC (2303.TW)	O (05/19/2026)	NT\$121.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$151.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$382.00
Daisy Dai, CFA		
ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$161.30
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb58.47

Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb94.40
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb31.16
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb291.05
Innoscence (2577.HK)	E (10/13/2025)	HK\$42.74
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb75.87
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.58
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb95.60
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb86.35
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb66.50
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb27.52
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb94.03
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$900.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,410.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,750.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$100.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$147.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb111.02
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb385.00
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$129.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$261.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb208.36
Novatek (3034.TW)	U (02/04/2026)	NT\$543.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$125.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$605.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$66.60
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$744.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.25
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$171.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$125.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$233.50
Duan Liu		
Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb111.90
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb366.33
Tiffany Yeh		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,175.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$604.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.35
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,475.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,300.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$246.65
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,775.00

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* Historical prices are not split adjusted.